

**THE RIGHT OF A SPOUSE MARRIED IN COMMUNITY OF
PROPERTY TO A SHARE OF THE OTHER SPOUSE'S PENSION
FUND: THE CASE OF JOHN AND ROSE**

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1 Introduction and assumed facts

The question gives no facts beyond the following, which I assume: John and Rose are married in community of property, Rose is employed in the public service and is a member of the Government Employees Pension Fund ("GEPF"), and divorce proceedings are pending but no decree has been granted.

2 Question (a): a spouse's claim to a share of the other spouse's pension fund

2.1 The statutory framework

Before 1989 a member's pension interest, being a contingent expectation, was generally not treated as an asset of the estate. The Divorce Amendment Act 7 of 1989 inserted sections 7(7) and 7(8) into the Divorce Act 70 of 1979. Section 7(7)(a) deems the "pension interest" of a party to be part of his or her assets when the patrimonial benefits of divorce are determined, and "pension interest" is defined by reference to the benefit the member would have received had membership terminated on the date of divorce. Section 7(8)(a) allows the court granting the decree to order that the part of the pension interest due to the other party be paid to that party by the fund when the benefits accrue, and requires the fund to endorse its records accordingly.¹ The non-member spouse's direct claim against the fund is then enforceable through section 37D(1)(d)(i) of the Pension Funds Act 24 of 1956, which allows a fund to deduct and pay an amount assigned under section 7(8)(a), and through the equivalent provisions of the Government Employees Pension Law 21 of 1996 for GEPF members.^[Pension Funds Act 24 of 1956 ss 37A and 37D(1)(d)(i) and (4).]^[Government Employees Pension Law 21 of 1996 s 21.] Heaton explains that these provisions operate together with the matrimonial property regime of the spouses.²

2.2 The position before *Ndaba v Ndaba*

For nearly two decades after 1989 the effect of sections 7(7) and 7(8) on spouses married in community of property was uncertain, and the High Courts disagreed. In *Sempapalele v Sempapalele* the court held that a spouse who did not obtain, at the

¹ Divorce Act 70 of 1979 ss 1(1) (definition of 'pension interest') and 7(7)–(8), inserted by the Divorce Amendment Act 7 of 1989.

² J Heaton (ed), *The Law of Divorce and Dissolution of Life Partnerships in South Africa* (Juta 2014) ch 4 (J Heaton).

hearing of the divorce, an order awarding a share of the other's pension interest could not claim it afterwards.³ In *Maharaj v Maharaj* the court refused to follow that approach and held that a spouse in a marriage in community of property is not forever barred from claiming half of the pension interest merely because the divorce order is silent.⁴ Funds meanwhile insisted on a compliant section 7(8) order, and commentators described the resulting position as unsettled and prejudicial to non-member spouses, who were often women unaware of the need to claim at the time of the divorce.⁵

2.3 The landmark ruling

The Supreme Court of Appeal resolved the conflict in *Ndaba v Ndaba*. The parties were married in community of property and the decree of divorce did not deal with the husband's pension interest. The Court held that section 7(7)(a) is self-contained and not made subject to section 7(8), so that in a marriage in community of property the pension interest is part of the joint estate by operation of law, and the non-member spouse is entitled to half of it even though the divorce order is silent. Section 7(8) is the mechanism that binds the fund to pay the non-member spouse directly; it is not the source of the right.⁶ The ruling therefore rejects the *Sempapalele* approach. Commentators note, however, that the judgment leaves practical questions open, in particular whether a fund will pay without a section 7(8) order, so that the safe course remains to claim the pension interest expressly in the divorce and to have the order drafted to satisfy the fund.⁷

3 Question (b): John's entitlement, withdrawal and interdict

3.1 John's entitlement while Rose is still employed

John is entitled to a share. Under *Ndaba* and section 7(7)(a), Rose's pension interest forms part of the joint estate, and John is entitled to half of the pension interest

³ *Sempapalele v Sempapalele* 2001 (2) SA 306 (O).

⁴ *Maharaj v Maharaj* 2002 (2) SA 648 (D).

⁵ C Marumoagae, 'A Non-Member Spouse's Entitlement to the Member's Pension Interest' (2014) 17(6) *Potchefstroom Electronic Law Journal*.

⁶ *Ndaba v Ndaba* [2016] ZASCA 162; 2017 (1) SA 342 (SCA).

⁷ C Marumoagae, 'The Law Regarding Pension Interest in South Africa Has Been Settled! Or Has It? With Reference to *Ndaba v Ndaba* (600/2015) [2016] ZASCA 162' (2017) 20 *Potchefstroom Electronic Law Journal*.

calculated as at the date of divorce, namely the benefit Rose would receive if she resigned on that date. The entitlement does not depend on Rose having left service.⁸

As to who should pay, the answer depends on the order. If the court makes a section 7(8)(a) order, the GEPF, not Rose, pays John directly and endorses its records. Under the “clean break” provisions of section 37D(4) of the Pension Funds Act, the assigned portion is deemed to accrue to the member on the date of the decree, which allows a non-member spouse to be paid without waiting for the member to retire.⁹ Whether the GEPF applies the same timing under its own law must be checked against the Government Employees Pension Law and the Fund’s rules. If no such order is made, the claim lies against Rose, and the court must divide the joint estate equally, with the value of the pension interest taken into account, for example by Rose compensating John from other assets.

3.2 *Resignation and withdrawal before the divorce is finalised*

The position would be different. The pension interest is measured at the date of the decree, and if Rose has resigned and been paid before that date, the GEPF no longer holds a pension interest for her, so a section 7(8) order cannot be enforced against it. A fund that has already paid cannot be ordered to pay again.

John is not without remedy, because in community of property the cash Rose receives is an asset of the joint estate in which he holds an undivided half share. He can claim half of it on division of the joint estate. He may also seek an order under section 20(1) of the Matrimonial Property Act 88 of 1984 where Rose’s conduct seriously prejudices or may prejudice his interests,¹⁰ and, if Rose has dissipated the funds, he can ask the court to order forfeiture of her benefits under section 9 of the Divorce Act. The Supreme Court of Appeal in *M v M* considered forfeiture in respect of a GEPF interest withdrawn before divorce and upheld the appeal because substantial misconduct had not been established, which shows that withdrawal alone does not justify forfeiture.^{[M v M (1305/2021) [2023] ZASCA 33.]} [Divorce Act s 9(1).]

⁸ *Ndaba v Ndaba* (n 8).

⁹ Pension Funds Act s 37D(4).

¹⁰ Matrimonial Property Act 88 of 1984 s 20(1).

3.3 Can John stop the GEPF from paying Rose?

Yes, but only by a court order. A fund is not obliged to refuse payment merely because a divorce is pending, and it must honour a decree only once it receives one. John should therefore apply urgently, joining the GEPF and Rose, for an interim interdict restraining payment pending the divorce. He must show a prima facie right, a well-founded apprehension of irreparable harm, a favourable balance of convenience and the absence of another satisfactory remedy.¹¹ His right is his half share of the joint estate, the harm is the loss of the benefit once it is paid and dissipated, and the interdict must be obtained before the fund pays, since the remedy is much weaker afterwards.

4 Question (c): is Rose allowed to withdraw before the divorce is finalised?

The answer is qualified. No rule of the Divorce Act freezes a member's benefits during divorce proceedings, so unless a court has granted an interdict the fund may pay Rose a withdrawal benefit if she resigns, because a GEPF member is paid on resignation, retirement, death or discharge, and not while in service, subject to any savings-component withdrawal allowed under the retirement reforms, the application of which to the GEPF should be confirmed. Rose is therefore legally free to resign, but she does not thereby escape John's claim. The money remains part of the joint estate, and if she uses her position to prejudice John she risks a protective order under section 20 of the Matrimonial Property Act and forfeiture under section 9 of the Divorce Act.

5 Conclusion

A spouse married in community of property is entitled to half of the other's pension interest, and *Ndaba v Ndaba* confirms that this right arises by operation of law, ending the uncertainty created by *Sempapalele* and *Maharaj*. John is entitled to a share of Rose's pension interest while she is employed, and the GEPF pays him directly under a section 7(8) order. If Rose resigns and withdraws before the decree, the claim shifts from the fund to the joint estate and to Rose personally, and John can seek protective orders and forfeiture. He can stop payment before the decree

¹¹ *Setlogelo v Setlogelo* 1914 AD 221.

only by an urgent interdict, and Rose may withdraw only in the limited circumstances in which the fund pays out, without defeating John's claim.

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